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TAB 29



Los Angeles Unified School District

1423

333 South Beaudry Ave,
Los Angeles, CA 90017

Board of Education Report

File #: 028-23/24, Version: 1

Public Hearing

Adoption of the Proposed 2024-25 Budget #Rep-316-23/24 (028-23/24)



Board of Education Report

File #: Rep-316-23/24, **Version:** 1

Adoption of the Proposed 2024-25 Budget

June 18, 2024 (PUBLIC HEARING)

June 25, 2024 (ADOPTION)

Office of the Chief Business Officer

Action Proposed:

Authorization for the following actions:

- (1) Adoption of the Proposed 2024-25 Budget to be filed, as approved, with the County Superintendent of Schools on State Form SACS-2024 in the manner prescribed by law.
- (2) Delegation of authority to the Budget Services and Financial Planning Division and the Accounting and Disbursements Division to take all actions necessary to implement the Budget Assumptions and Policies set forth in this Board Report (Attachment B).
- (3) Approval of the enclosed Resolution Regarding Expenditures from the Educational Protection Account ("EPA") for Fiscal Year 2024-25 in accordance with the provision of Proposition 30 (Attachment C).
- (4) Approval of the enclosed Resolution to Release Committed Fund Balance in Fiscal Year 2026-27 or other years, as necessary (Attachment E).
- (5) Delegation of authority to the Chief Business Officer, the Controller, or their designee to make interfund transfers and/or temporary borrowings in accordance with the 2024-25 adopted and revised LA Unified budgets and Education Code section 42603. For reference, see Attachment F for a history of interfund transfers.

Background:

Annually, the Board of Education must hold a public hearing and adopt a budget consistent with the provisions of section 42127 of the Education Code. Upon adoption, the budget is to be submitted to the Los Angeles County Office of Education (LACOE) on or before July 1.

With the passage of Proposition 30, LA Unified shall receive part of its State entitlement through revenues from the Education Protection Account (EPA). In order to receive these entitlements, the Board of Education must, at an open meeting, make spending determinations regarding EPA funds.

Proposition 30 revenues are allocated to school districts through the EPA. These are not additional funds outside of the Local Control Funding Formula, but rather another source of the general-purpose funds (similar to local property taxes) that offsets what would otherwise be state funding.

EPA funds may not be used for any salaries or benefits of administrators or any other administrative costs. LA Unified is also required to annually publish on its web site an accounting of how much EPA funds were received and how the funds were spent.

Sections 42127 and 52062 of the Education Code require two separate Governing Board public meetings for the Local Control and Accountability Plan (LCAP) and the Budget, one for the public hearing of the LCAP and Budget and a subsequent meeting for the adoption. The LCAP public hearing and adoption must occur at the same meetings as the budget public hearing and adoption.

As required by Senate Bill (SB) 858/751, Attachment D sets forth the minimum reserve level required in each year, amounts of assigned and unassigned ending balance that exceed the minimum, and reasons for the reserve being greater than the minimum.

As required by Governmental Accounting Standards Board (GASB) Statement No. 54 *Fund Balance Reporting and Governmental Fund Type Definitions*, Attachment E sets forth to release committed fund balance.

The interfund transfer and temporary borrowing authorization is an annual request to allow staff to process accounting transactions related to interfund transfers and temporary borrowings. Interfund transfers are made between funds for various purposes, including transfers for debt service requirements. Temporary borrowings are made in situations where LA Unified advances cash from a fund with sufficient cash balance to pay obligations of a fund with insufficient cash balance. Repayments of the cash advances are made within statutory timelines.

Expected Outcomes:

The outcome of this Board action is an adopted budget for fiscal year 2024-25 that shall enable LA Unified to comply with Education Code Section 42127.

A further expected outcome of this Board Action is an adoption of Resolutions Regarding EPA expenditures for 2024-25.

Approval of the Resolutions to Release Committed Fund Balance ensures that LA Unified adheres to GASB 54.

Approval of interfund transfers and temporary borrowings authorization shall ensure that interfund transfers and/or temporary borrowings are authorized beginning in July 2024. LA Unified staff shall be able to make required and timely interfund transfers or temporary borrowings in the 2024-25 fiscal year.

Board Options and Consequences:

Should the Board vote to approve, LA Unified will meet the annual budget adoption requirements of Education Code Section 42127. Should the Board vote not to approve, LA Unified will not meet the requirements of Education Code Section 42127.

Non-approval of the EPA resolution as set forth in Proposition 30 may place the EPA entitlement at risk.

Without approval to release committed fund balance, LA Unified will not be able to implement any proposed changes to commitments. Commitments may be changed or removed only by the governing board taking the same formal action that imposed the initial constraint.

Without prior approval to process interfund transfers and temporary borrowings, LA Unified staff will not have the authority to make required and timely interfund transfers and/or temporary borrowings in Fiscal Year 2024-25.

Policy Implications:

Adoption of the Proposed 2024-25 Budget, approval of the Resolution Regarding Expenditures from the EPA, approval of the Resolution to Release Committed Fund Balance, and delegation of authority to make interfund transfers and/or temporary borrowings shall comply with the Education Code and GASB requirements.

Budget Impact:

Adoption of the Proposed 2024-25 Budget.

Student Impact:

Compliance with Education Code and GASB requirements ensures that LA Unified shall continue to operate and serve its student population responsibly.

Equity Impact:

Component	Score	Score Rationale
Recognition	4	The proposed budget is LA Unified's plan for the upcoming school year 2024-25 related to anticipated revenues and expenditures for all LA Unified funds with the General Fund being the largest fund. This budget includes Federal, State, and Local resources that are allocated directly to schools based on student needs that are measured by various indicators. Students learn in different ways depending on the student's background, language, race, economic profile, etc. Therefore, resources are allocated to address these differences. Programs allocated using various indicators include, but are not limited to, the Student Equity Needs Index (SENI), Black Student Achievement Plan (BSAP), Arts Program, and Title 1.
Resource Prioritization	4	Within the General Fund is the Local Control Funding Formula (LCFF) which is the largest unrestricted source of funding for schools. LCFF provides baseline funding for all students and additional resources to schools with high concentrations of low-income students, English Learners, and students in foster care.
Results	4	The budget includes investments in schools that are allocated to improve student achievement and equity across all student groups. The goal is to build fairness and inclusion and ensure every student has the opportunity to achieve their academic goals.
TOTAL	12	

Issues and Analysis:

None

Attachments:

Attachment A - Executive Summary

Attachment B - Budget Assumptions and Policies

Attachment C - Education Protection Act Resolution

Attachment D - Ending Balance Disclosure

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Attachment E - Resolution to Release Committed Fund Balance

Attachment F - Interfund Transfer Schedule

Attachment G - Standardized Account Code Structure Form - 2024

Informatives:

None

Submitted:

05/13/24

RESPECTFULLY SUBMITTED,**APPROVED & PRESENTED BY:**

ALBERTO M. CARVALHO
Superintendent

PEDRO SALCIDO
Deputy Superintendent,
Business Services & Operations**REVIEWED BY:****APPROVED & PRESENTED BY:**

DEVORA NAVERA REED
General Counsel

DAVID D. HART
Chief Business Officer
Office of the Chief Business Officer

___ Approved as to form.

REVIEWED BY:

NOLBERTO DELGADILLO
Deputy Chief Business Officer, Finance

___ Approved as to budget impact statement.

ATTACHMENT A – EXECUTIVE SUMMARY

Please refer to page 15 in the Proposed 2024-25 Budget Book

<https://acrobat.adobe.com/id/urn:aaid:sc:US:281217ec-6dbd-45f7-b469-747a5826f176>

PLACEHOLDER

ATTACHMENT B – BUDGET ASSUMPTIONS AND POLICIES

Please refer to page 18 in the Proposed 2024-25 Budget Book

<https://acrobat.adobe.com/id/urn:aaid:sc:US:281217ec-6dbd-45f7-b469-747a5826f176>

PLACEHOLDER

ATTACHMENT C – EDUCATION PROTECTION ACT RESOLUTION

Please refer to page 24 in the Proposed 2024-25 Budget Book

<https://acrobat.adobe.com/id/urn:aaid:sc:US:281217ec-6dbd-45f7-b469-747a5826f176>

PLACEHOLDER

ATTACHMENT D – ENDING BALANCE DISCLOSURE

Please refer to page 28 in the Proposed 2024-25 Budget Book

<https://acrobat.adobe.com/id/urn:aaid:sc:US:281217ec-6dbd-45f7-b469-747a5826f176>

PLACEHOLDER

**ATTACHMENT E – RESOLUTION TO RELEASE COMMITTED
FUND BALANCE**

Please refer to page 33 in the Proposed 2024-25 Budget Book

<https://acrobat.adobe.com/id/urn:aaid:sc:US:281217ec-6dbd-45f7-b469-747a5826f176>

PLACEHOLDER

ATTACHMENT F – INTERFUND TRANSFER SCHEDULE

Please refer to page 35 in the Proposed 2024-25 Budget Book

<https://acrobat.adobe.com/id/urn:aaid:sc:US:281217ec-6dbd-45f7-b469-747a5826f176>

PLACEHOLDER

**ATTACHMENT G – STANDARDIZED ACCOUNT CODE
STRUCTURE FORM – 2024**

Please refer to page 229 in the Proposed 2024-25 Budget Book

<https://acrobat.adobe.com/id/urn:aaid:sc:US:281217ec-6dbd-45f7-b469-747a5826f176>